

ECONOMY

LECTURES



BANKING SYSTEM ... INTRICACIES

MODULE - 17

HOW THE MONEY FLOWS IN THE BANKING SYSTEM...



WHAT IS PRIORITY SECTOR LENDING?



Priority sector refers to the sectors of the economy which may not get timely and adequate credit in the absence of this special dispensation.

AND

Priority sector lending comprises small value loans to agriculture and allied sectors, micro, small and medium enterprises, social infrastructure, renewable energy, housing for poor people, students and weaker sections



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PRIORITY SECTOR LENDING



PRIORITY SECTOR LENDING



- *Agriculture*
- *Micro, small & medium enterprises*
- *Export credit*
- *Education*
- *Housing*
- *Social infrastructure*
- *Renewable energy*
- *Others*

(Contd...)



PRIORITY SECTOR LENDING GUIDELINES (...Contd)

DO YOU KNOW?

Marginal Farmer

- Owner / Tenant of agricultural land up to 1 Hectare (2.5 acres)

Small Farmer

- Owner / Tenant of agricultural land from 1 to 2 Hectares (2.5 to 5 acres)



- ✓ Overall target is 40% of ANBC
- ✓ 10% for weaker sections.
- ✓ Foreign Banks with 20 branches and above have to ensure 40% target by March 2018.
- ✓ Foreign Banks with less than 20 branches will move to 40% target by 2019-20.
- ✓ Within 18% to Agriculture, 8% sub-target is kept for marginal & small farmers,
- ✓ 7.5% target is kept for micro enterprises
- ✓ Non-achievement will be assessed on quarterly basis from 2016-17 onwards.



NABARD

(Contd...)



NON PERFORMING ASSETS

WHAT IS NON PERFORMING ASSET?



Interest and / or installment of principal remain overdue for a period of more than 90 days in respect of a term loan.

OR

The installment of principal or interest thereon remains overdue for two crop seasons for short duration crops/one crop season for long duration crops.

OR

If the cash credit account or overdraft account becomes out of order.

MAIN REASONS

- 1 Inefficient credit appraisal mechanism
- 2 More exposure to corporate loans
- 3 Stress in some sectors like infrastructure, steel industry etc.
- 4 Structural bottlenecks like environmental problems, forest clearances, land acquisitions etc.
- 5 Global downturn
- 6 Political interference while granting loans
- 7 Political patronage of borrowers
- 8 Banks have not exercised desired prudence.
- 9 Loans granted during boom times of the economy
- 10 Asset bubbles could not be understood properly.

2. HIGH GROSS NPAs

NON PERFORMING ASSETS

WHAT CAN THE BANKS DO?

If the bank feels that there is genuine reason

1. Restructuring the loan on easy terms with longer time period

If the bank feels that there is no genuine reason

1. Referring the matter to Asset Reconstruction Companies (ARCs) as per SARFAESI Act, 2002
2. Strategic Debt Restructuring
3. S4A

IF THE BANK FEELS THAT THERE IS GENUINE REASON

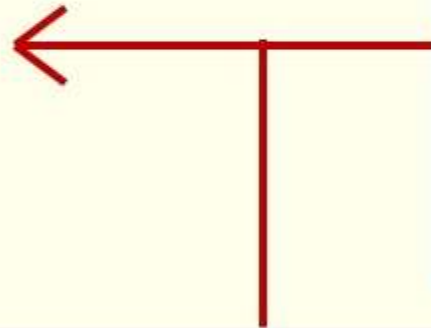
1 RESTRUCTURING OF LOANS

- ✓ Done through **Corporate Debt Restructuring (CDR)** mechanism.
- ✓ Implemented by RBI from August 2001.
- ✓ Aimed at corporates affected by certain **genuine internal and external factors**.
- ✓ It covers only multiple banking accounts, consortium accounts / syndicated loan accounts, where the outstanding exposure is Rs. 10 crores or more.
- ✓ In CDR mechanism, lenders can allow
 - Extension of repayment period.
 - Reduction in interest rate.
 - Moratorium for some period.
 - Additional loan
- ✓ Restructured loans will go out of the books of NPAs

Most of the restructured loans are becoming NPAs subsequently

LENDING THROUGH CONSORTIUM OF BANKS

Several banks coming together to finance a borrower with common appraisal, common documentation, joint supervision & follow up exercises.



**LENDING AS A
GROUP**



One bank will act as a lead bank

LENDING THROUGH MULTIPLE BANKING ARRANGEMENTS (MBAs)



- Borrower avails loans independently from more than one bank.
- There is no contractual relationship between various bankers.
- Each banker will do his own credit assessment.
- Each banker holds security independent of others.

IF THE BANK FEELS THAT THERE IS NO GENUINE REASON

1

ASSET RECONSTRUCTION COMPANIES



- ✓ These are formed as per the “Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002”.
- ✓ It empowers Banks & FIs to recover NPAs without the intervention of the court.
- ✓ This was brought to circumvent the inefficiency of DRTs.
- ✓ Banks have got powers to sell the “declared bad loans.”
- ✓ This is applicable for loans with outstanding of Rs. 1 Lakh and above.
- ✓ RBI has power to issue licences to ARCs and Asset Reconstruction Company (India) Ltd (ARCIL) is the first ARC established in India.

However, the functioning of ARCs is not satisfactory

IF THE BANK FEELS THAT THERE IS NO GENUINE REASON



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2

STRATEGIC DEBT RESTRUCTURING (SDR)

This is applicable only for Consortium Loans or Multiple Banking Arrangements (MBAs)

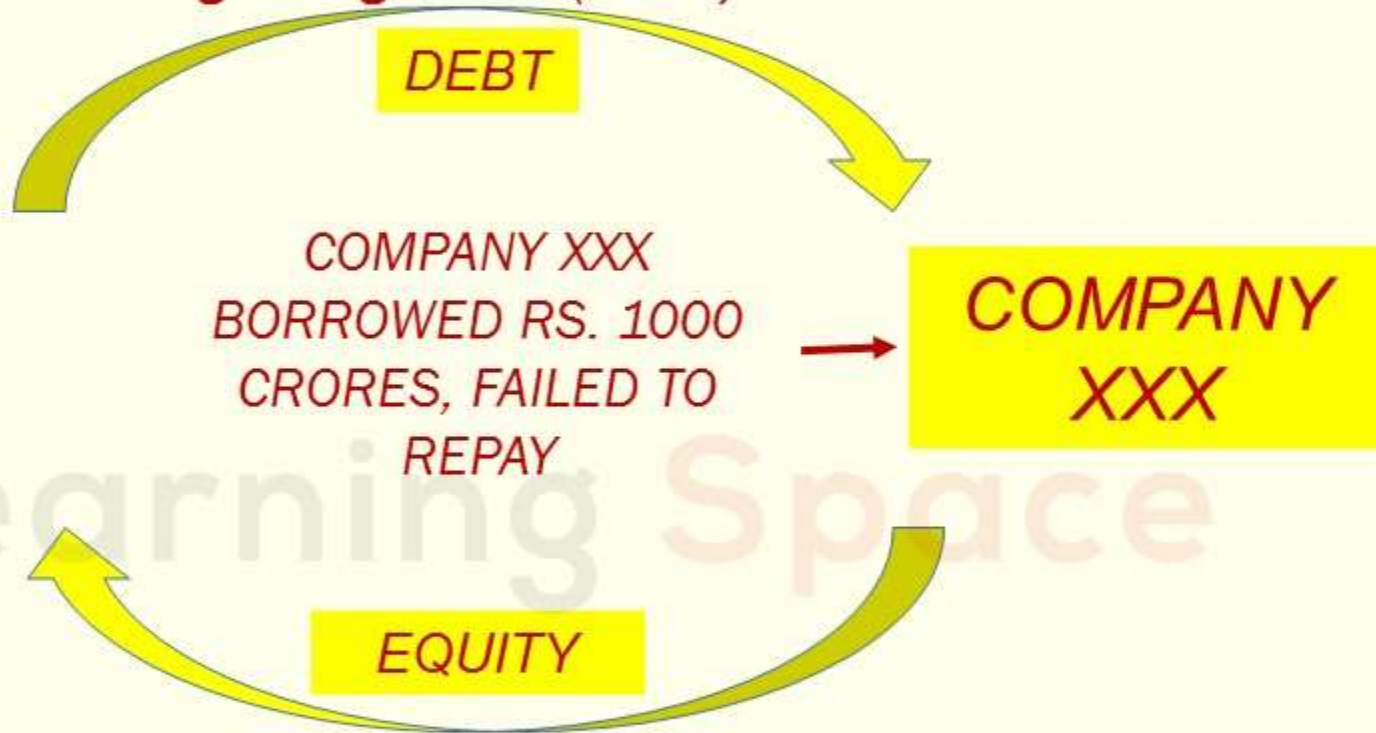


Consortium Lending

OR



Multiple Banking Arrangement Lending



- Now this debt can be converted to equity.
- It gives ownership of the firm for the banks.
- They can change management.
- They can make turnaround of the company.

IF THE BANK FEELS THAT THERE IS NO GENUINE REASON

3

SCHEME FOR SUSTAINABLE STRUCTURING OF STRESSED ASSETS (S4A)



- ✓ This is known as S4A or "Scheme for Sustainable Structuring of Stressed Assets".
- ✓ This is another measure to reduce the stress on corporate borrowers and also to clean up the balance sheets of banks, especially PSBs.
- ✓ Here the outstanding debt is divided into sustainable debt and equity / quasi equity.
- ✓ To ensure transparency, an Overseeing Committee set up by IBA, in consultation with RBI, will review the process.

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Indian Banks'
Association



COMPANY XXX

DEBT

Not able to service
the loan, as the debt
is high

Sustainable Debt

Equity / Quasi Equity

Minimum should be
50% of Debt

Upto a maximum of 50% of
the Debt

BASEL NORMS

BANK FOR INTERNATIONAL SETTLEMENTS



BANK FOR
INTERNATIONAL
SETTLEMENTS

- ✓ It was established on 17th May, 1930.
- ✓ It has around 60 Central Banks as its members representing countries from around the world that together make up about 95% of world GDP.
- ✓ Head office in Basel, Switzerland.
- ✓ It acts as Bank to Central Banks.

MISSION

“Promoting global monetary and financial stability through international cooperation”

- ✓ It is the world's oldest international financial organization.
- ✓ BIS has two representative offices in Hong Kong & in Mexico City.
- ✓ It was established subsequent to The Hague Agreement of 1930.

- ✓ It is governed by Board of Directors, which elect Chairman & Vice-Chairman.



BANK FOR INTERNATIONAL SETTLEMENTS



BASEL NORMS

BASEL COMMITTEE ON BANKING SUPERVISION (BCBS)



BANK FOR
INTERNATIONAL
SETTLEMENTS

- ✓ It is a forum for regular cooperation on banking supervision matters.

MISSION

“To strengthen the regulation, supervision and practices of banks worldwide with the purpose of enhancing financial stability”

BASEL - I

BCBS devised Basel-I in 1988. It is focused entirely on credit risk. Just prescribed minimum capital requirement of 8% against Risk Weighted Assets (RWAs).

BASEL - II

BCBS devised Basel-II in 2004. In addition to capital adequacy (credit risk), it also considered risk management (market risk and operational risk) & disclosure requirements.

BASEL NORMS

BASEL COMMITTEE ON BANKING SUPERVISION

BASEL III NORMS



BANK FOR
INTERNATIONAL
SETTLEMENTS

- ✓ *Basel-II failed because, it could not consider systemic risk.*
- ✓ *It could not prevent 2008 financial crisis.*
- ✓ *Basel-III was proposed after 2008 financial crisis.*

1 To improve banking sector's ability to absorb shocks arising from financial and economic stress

2 To improve risk management and governance

3 To strengthen banks transparency and disclosures

BASEL III NORMS

1

CAPITAL ADEQUACY

$$\frac{\text{CET1}}{\text{RWAs}} \geq 5.5\%$$

In India, total capital adequacy is kept at 9% and to be ensured by 31st March, 2019

2

LEVERAGE RATIO

$$\frac{\text{Tier 1 Capital}}{\text{Total Exposure}}$$

3

LIQUIDITY COVERAGE RATIO

$$\text{LCR} = \frac{\text{High Quality Liquid Assets}}{\text{Total Net Liquidity Outflows over 30 days}} \geq 100\%$$

In India, 100% LCR is to be ensured by 1st Jan, 2019

4

NET STABLE FUNDING RATIO

The available amount of stable funding to exceed the required amount of stable funding over one year period



RBI STIPULATIONS FOR INDIAN BANKS

(To be ensured by 31 March 2019)

S.No	Description	%
1	Minimum Common Equity Tier I (CET I)	5.5%
2	Capital Conservation Buffer (CCB)	2.5%
3	Minimum CET I + CCB	8%
4	Minimum Tier I Capital	7%
5	Minimum Total Capital	9%
6	Minimum Total Capital + CCB	11.5%

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